

Market Segmentation and Targeting Strategies

Tata Motors: Segmentation, Targeting and Growth Strategy


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connected car —
Harrier.ev
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STEALTH


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Market Segmentation Strategy

Psychographic/Geographic

The "Vocal for Local" Patriot
(Lifestyle, Values)

Strategic Reasoning

- Homegrown
- Patriotism
- Strength

Behavioral

Early Adopter & Eco-Conscious
(User Status, Benefits)

Strategic Reasoning

- First-mover advantage gained
- Bridged technology gap
- Established market dominance

Psychographic

Safety-Conscious Family
(Benefits Sought: Safety/Trust)

Strategic Reasoning

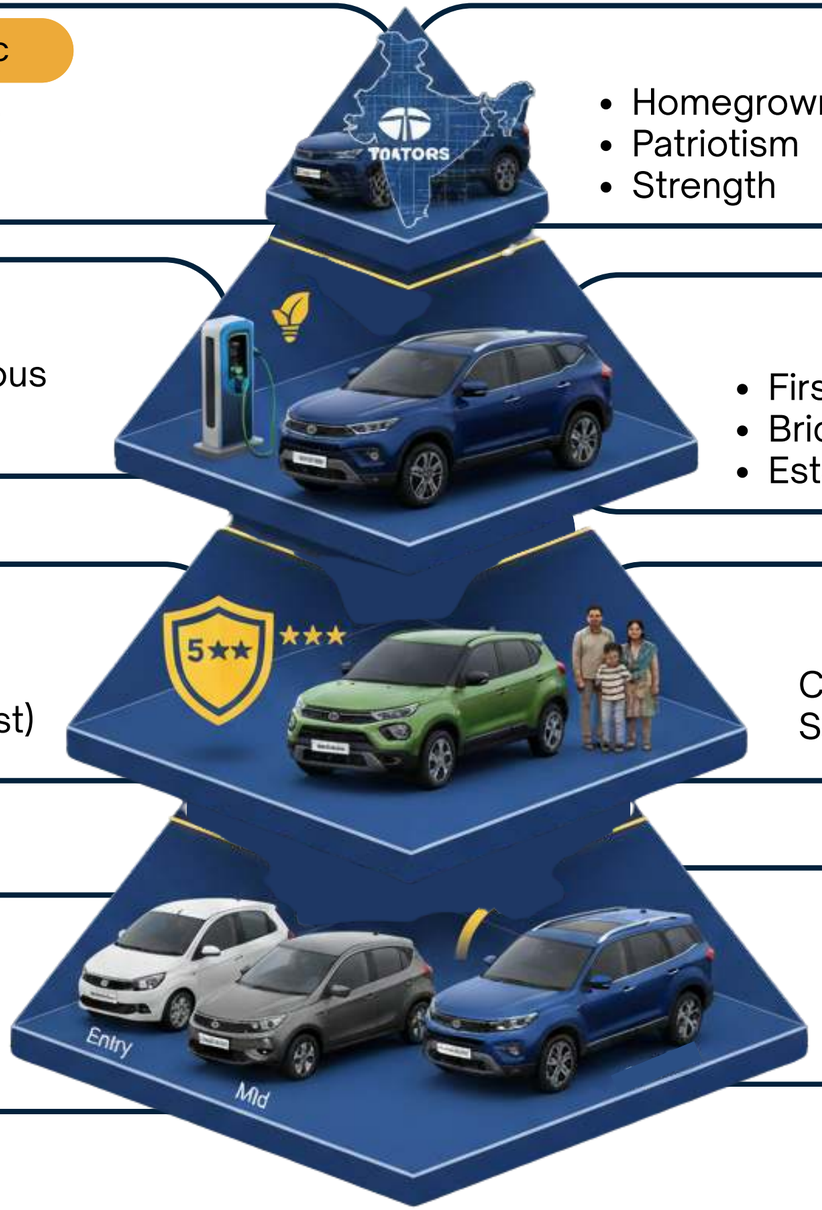
Core emotional value of Family
Safety

Demographic/Geographic

Aspirational Ladder
(Income, Age, Location)

Strategic Reasoning

- Entry
- Progression (Clear Path)
- Retention



Targeting Strategy

1. Differentiated Targeting

Different Cars for DIFFERENT Group

- **Value Buyers**: Tiago – affordable and reliable.
- **Mid-Range Buyers**: Nexon / Altroz – stylish and feature-rich.
- **Premium & Family Buyers:** Safari / Harrier – large, comfortable SUVs.
- **Young First-Time Buyers:** Punch – compact, trendy, and safe.

Rank	Models	Sep 2025	Aug 2025	Sep 2024	MoM (%)	YoY (%)
1	Tata Nexon	22,573	14,004	11,470	61	97
2	Maruti Dzire	20,038	16,509	10,853	21	85
3	Hyundai Creta	18,861	15,924	15,902	18	19
4	Mahindra Scorpio	18,372	9,840	14,438	87	27
5	Tata Punch (including Punch EV)	15,891	10,704	13,711	48	16



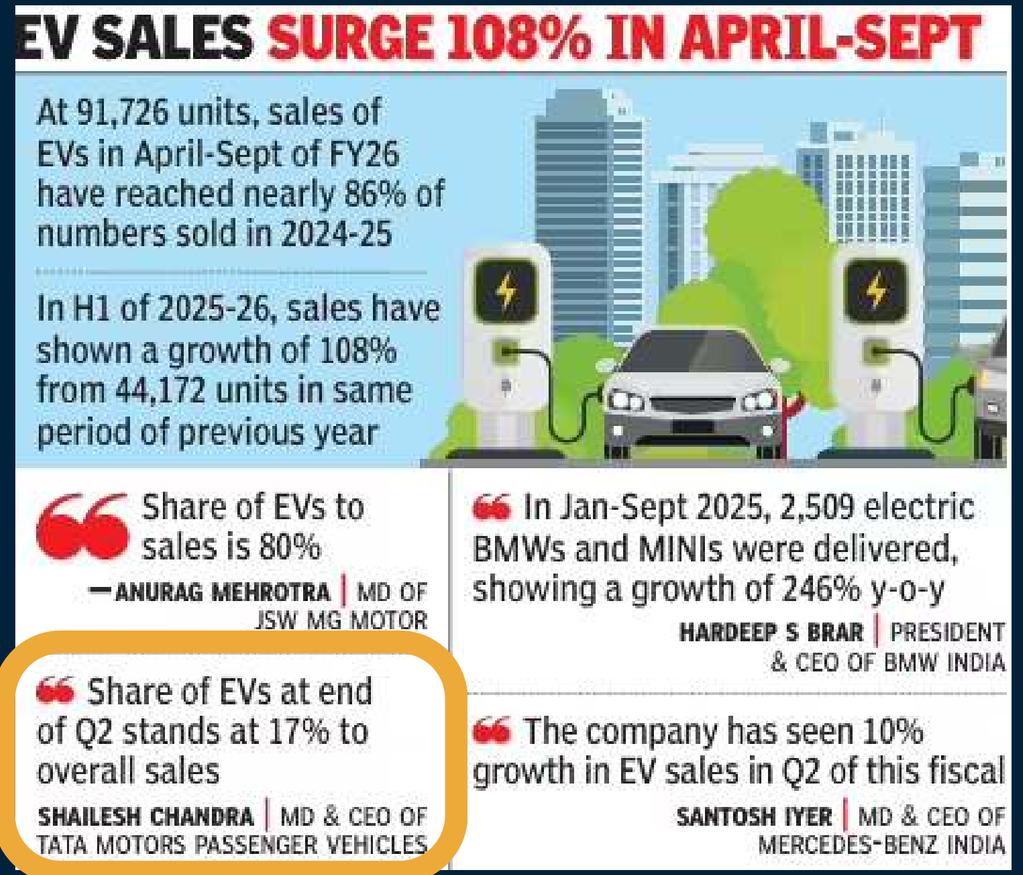


Targeting Strategy

Concentrated/Niche Targeting (The EV Masterstroke):

Focus on ONE Specific Group

- **Target Group**: Urban Early Adopters (tech-savvy city customers).
- **Strategy**: Developed the Nexon EV and the UniEVerse charging ecosystem exclusively for them.
- **Result**: Tata became India's #1 EV brand by owning this niche.



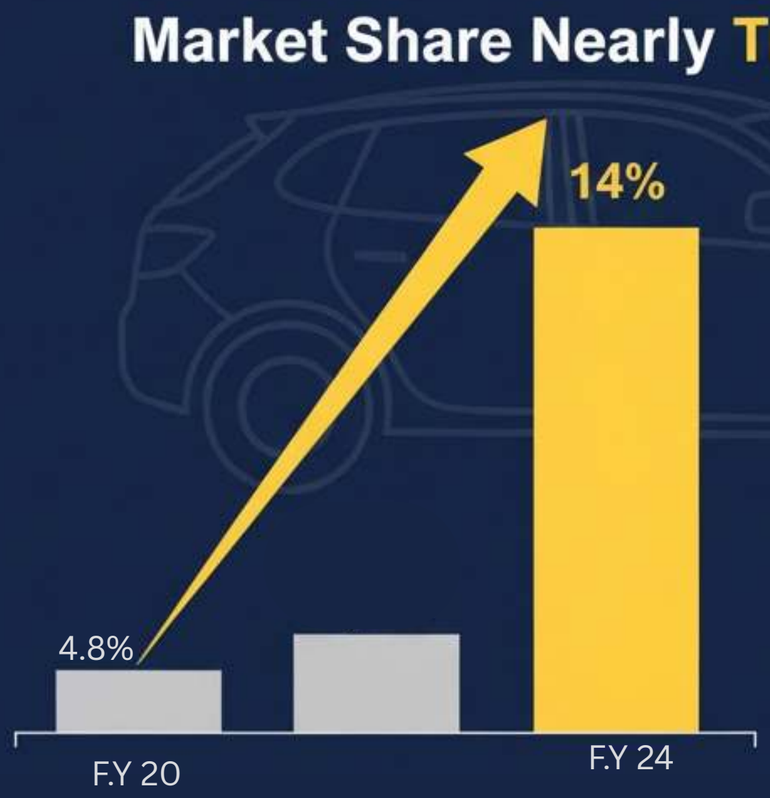
ELECTRIC CAR, SUV & MPV RETAIL SALES IN NOVEMBER 2024 & FIRST 11 MONTHS OF CY2024

EV OEM	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Total
Tata Motors	5,790	5,139	7,178	5,172	5,299	4,586	5,081	4,378	3,816	6,449	4,196	57,084
MG Motor India	1,201	1,096	1,173	1,266	1,507	1,477	1,611	1,432	1,013	2,712	3,126	17,614
Mahindra & Mahindra	784	646	691	668	593	486	517	336	472	945	547	6,685
BYD India	162	151	144	157	176	243	256	223	179	277	296	2,497

Analysis of Strategic Effectiveness:

Tata’s segmented strategy resulted in profound market success

A. Market Share & Volume Growth



The Rise to #3 PV Player in India

5,73,541 Units Sold

Rs.52,353 Cr Revenue

B. EV Market Leadership & Growth

- This market leadership provides crucial scale, valuable real-world driving data, and cost advantages.
- Growth Trajectory: Witnessed rapid growth, selling over ~70,000 EVs in FY23 & FY24 (a 12x increase in two years).
- Ecosystem Advantage: Success fueled by the 'Tata UniEVerse' charging network, addressing "Range Anxiety."





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C. Brand Perception Shift:

The brand is now synonymous with modern Safety, Design, and Trust, allowing for premium pricing and better margins.





5-star safety rating from Global NCAP

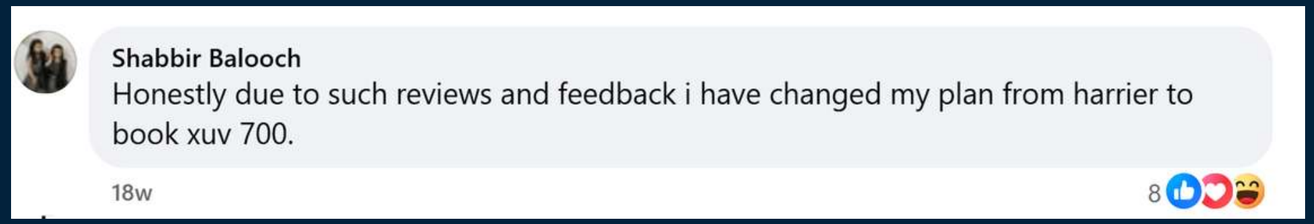
Analysis of Strategic Effectiveness:

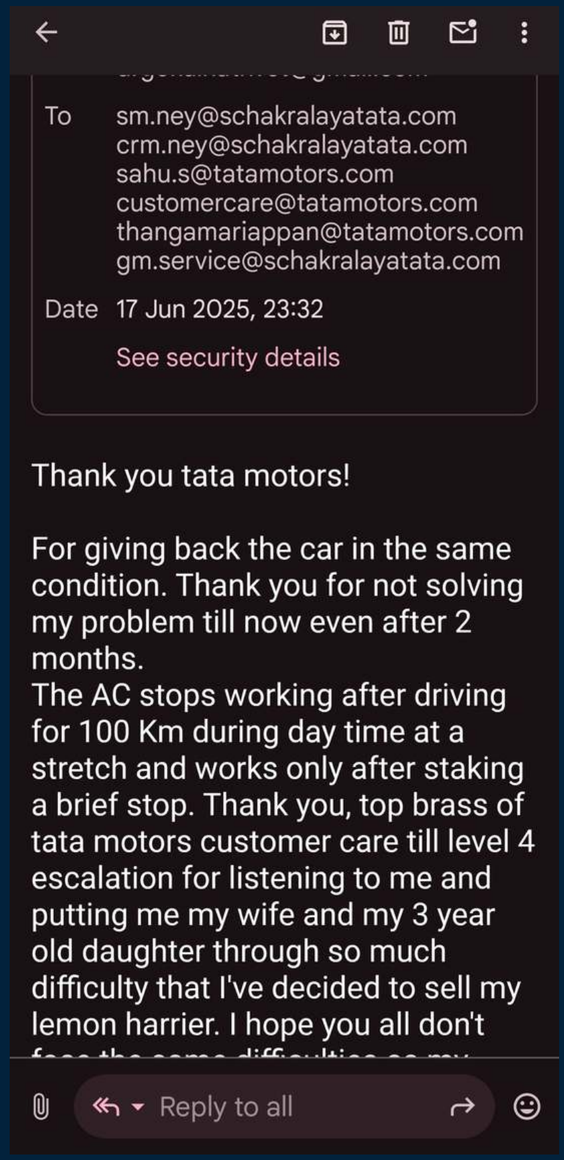
What is going wrong ?

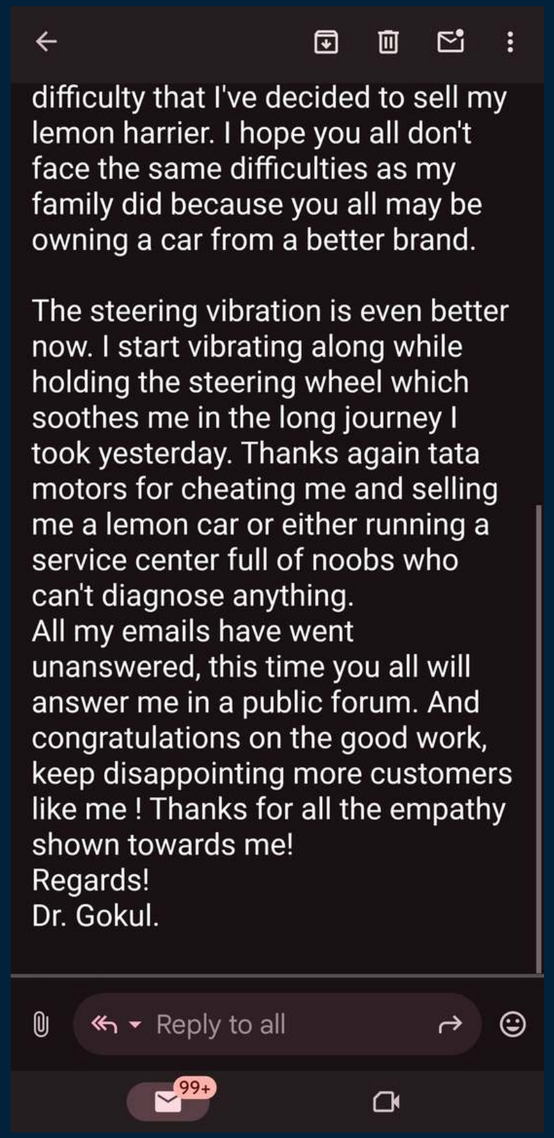
The After-Sales Service Threat (ASST)

The persistent strategic failure is poor ASST. Inconsistent quality and delayed parts directly undermine the psychographic promise of Trust.

This failure erodes long-term customer loyalty and is the biggest threat to sustaining market share.







Strategic Recommendations for Future Growth

Recommendation 1

Annual "Tata Trust Assurance" subscription (like Amazon Prime or BMW Service Inclusive) for premium/EV buyers.

The Strategy

An optional annual fee of ₹8,000 for premium/EV owners.

Require all service centers to achieve a First-Time Fix Rate (FTFR) of >90%

Value Proposition

Guarantees priority service scheduling, free roadside assistance, and a guaranteed loaner vehicle within 48 hours for major repairs.

Improves service quality by linking individual technician bonuses directly to FTFR and service satisfaction scores.

Quantitative Projection

With 3,00,000 eligible owners: ₹24 Cr a year at 10% uptake, ₹48 Cr at 20%, ₹72 Cr at 30%.

Increasing customer retention by just 5% (due to service satisfaction) is projected to increase the Customer Lifetime Value (CLV) of the average premium customer by 15% over ten years.

Recommendation 2

Monetize Digital Capabilities via Software-as-a-Revenue (SaaR).

The Strategy: Part 1

Structure a safe data brokerage model using vehicle telematics to offer aggregated data to B2B partners.

This B2B data licensing is estimated to generate a new revenue stream of ₹15–20 Crores per annum by FY28, based on 3 million connected cars.

The Strategy: Part 2

Adopt a Function-on-Demand (FoD) model (Tesla/Mercedes-Benz inspired) for high-end offerings.

Factory-install hardware for features like EV Performance Boost, Enhanced ADAS suite, etc, and sell access as subscriptions or one-time Over-The-Air (OTA) purchases.

Quantitative Projection

The typical price point for a software performance upgrade is set at INR 20,000(one-time fee).

Targeting a 15% penetration of FoD packages across all new EV sales (estimated at 100,000 units by FY27), this generates an additional ₹30 Crore in revenue annually.

Recommendation 3

Cross-Group Loyalty for Status Elevation

The Strategy

Leveraging TATA’s unique competitive advantage, i.e, the immense trust and range of consumer businesses (Taj, Croma, Air India).

Create an exclusive, high-status loyalty tier that links vehicle ownership to the broader Tata conglomerate

Quantitative Projection

By elevating the purchase experience and providing tangible benefits (e.g., Complimentary flight upgrades on Air India, prioritized reservations at Taj Hotels), we assume this cohort's retention rises by 8% over five years, significantly reducing customer acquisition costs.